EXECUTIVE SUMMARY

1. Introduction

The Municipality of Lasam, Province of Cagayan was once part of the town of Gattaran. It became a town through a bill introduced by Congressman Paulino Alonzo of the second district of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a third (3rd) class municipality.

The audit covered the accounts and operations of the Municipality of Lasam for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial and Compliance Audit were conducted to achieve these audit objectives.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2018, were P231,019,941.59, P30,110,858.31 and P200,909,083.28, with an increase of 20.29%, 20.77% and 20.22%, respectively, from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P137,833,596.85 and P104,645,713.43, which increased by 9.36% and 14.77%, respectively, from last year's figures.

Particulars	2018	2017	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	P231,019,941.59	P192,053,840.49	P38,966,101.10	20.29%
Liabilities	30,110,858.31	24,932,211.36	5,178,646.95	20.77%
Govt. Equity	200,909,083.28	167,121,629.13	33,787,454.15	20.22%
Financial Performance				
Income	P137,833,596.85	P126,042,212.26	P11,791,384.59	9.36%
Expense	104,645,713.43	91,174,816.67	13,470,896.76	14.77%
Appropriations, Allotments and Obligation				
Appropriations	P134,422,000.00	P127,974,999.96	P6,447,000.04	5.04%
Allotments	134,422,000.00	127,993,999.96	6,428,000.04	5.02%
Obligations	126,351,057.45	118,111,009.07	8,240,048.38	6.98%

Comparative Statement of Funds Transfer to and from NGAs, NGOs and POs.

Particulars	2018	2017	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	P 461,200.00	P 461,200.00	-
Due from GOCCs	-	-	-
Due from LGUs	3,485,000.00	3,010,000.00	475,000.00
Due from NGOs/POs	193,319.10	193,319.10	-
Others	-	-	-
TOTAL	**P 4,139,519.10**	**P 3,664,519.10**	**P 475,000.00**
Fund Received from Other Agencies:			
Due to NGAs	P 1,188,048.95	P 168,527.97	P 1,019,520.98
Due to GOCCs	404,183.81	29,926.47	374,257.34
Due to LGUs	1,429,047.50	1,330,948.19	98,099.31
Due to NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**P 3,021,280.26**	**P 1,529,402.63**	**P 1,491,877.63**

3. Independent Auditor's Opinion on the Financial Statements

We rendered a Qualified Opinion on the fairness of presentation of the financial statements since the correctness and validity of the Road Networks account as part of LGU's Property, Plant and Equipment (PPE) valued at P23,771,953.51 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to strictly observed complete and proper accounting and reporting guidelines on local road network system. The audit team was not able to apply other alternative audit procedures in determining the correct amount of the said account.

4. Summary of Significant Audit Observations and Recommendations

For the CY 2018, the Municipality of Lasam, Cagayan thru the leadership of Honorable Mayor Marjorie A. Salazar and the members of the Legislative Body and the Executive Staff, was awarded the 10th Most Competitive Municipality in the Philippines (Infrastructure Pillar), 13th Most Improved Municipality in the Philippines and the 19th Most Competitive Municipality in the Philippines conferred by the Department of Trade and Industry – Cities and Municipalities Competitiveness Index (CMCI).

However, the audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality:

1. Accounting and reporting guidelines on local roads asset management embodied in COA Circular No. 2015-008 were not strictly observed by

concerned departments, thus the correctness of the balance of Road Networks account of ₱23,771,953.51 as of December 31, 2018 could not be ascertained.

To fairly present the book value of the Road Networks account in the Financial Statements of the Municipality, we recommended that the Municipal Mayor direct the:

1. GSO and the Municipal Engineer to conduct the physical inventory on the Local Road Network to come up with the Inventory Report on the Local Road Network.

2. GSO and the Municipal Engineer to evaluate the Local Road Inventory Report and reconcile with the accounting records to facilitate the reporting of the municipality's road network system;

3. Municipal Accountant to adjust the books on discrepancies noted;

4. Municipal Engineer to provide the Municipal Accountant and the GSO-Designate with the complete description and cost segregation of the road components for road project.

2. Only ₱2,676,349.81 or 57.89% of the 70% Mitigation Fund allocation from the LDRRMF of LGU Lasam in CY 2018 was utilized contrary to the declared policy of the State which is to strengthen the capacity of the Local Government Units to build a disaster resilient community as provided in Section 2(e) of Republic Act 10121.

   We recommended that Management optimally use the 70% allocation of the Disaster Risk Reduction Management Fund through the full implementation of the projects and activities allowed and mentioned in Section 5 of NDRRMC, DBM and DILG JMC No. 2013-1 to build a disaster resilient community and to reduce disaster risks.

3. Non-utilization of P2,118,757.55 or 36.53% of appropriated fund for Solid Waste Management by LGU Lasam caused not to fully implement the Solid Waste Management programs, projects and activities which contravened the declared policy of the State and may affect the disposal in appropriate and environmentally sound solid waste management facilities.

   We recommended that Management direct the Municipal Solid Waste Management Board and Municipal Environment and Natural Resource Office to oversee the full implementation of the Solid Waste Management PPAs of LGU Lasam to timely avail the benefits that the public could derive therefrom.

4. Inspection by the COA Technical Audit Specialists (TAS) on the various infrastructure projects of the agency undertaken by REGIGAR Construction disclosed some deficiencies and incurrence of delays in the completion of the projects subject to the imposition of Liquidated Damages.

   In view of the foregoing observations, we recommended that Management:

   1. Instruct the concerned employees to submit to the Office of the Auditor the Statement of Work Accomplished for the Construction of Nicolas Agatep Small Water Impounding Project at the expiry date of the contract for proper evaluation and computation of liquidated damages (LD) per Annex "E" 8.1 of the Revised Implementing Rules and Regulations of R.A. 9184;

   2. Require REGIGAR Construction to refund the amount of the deficiency on the Concreting of Barangay Road - San Pedro amounting to P86,626.05 or it shall be deducted from any claim of the contractor from the municipality;

   3. See to it that all procurement should always be in accordance with RA 9184, the Government Procurement Reform Act and its Implementing Rules and Regulations (IRR) to attain the very purpose which the law was created and to avoid suspension and disallowance in audit.

5. Prior years' audit suspensions and disallowances amounting to ₱10,306,035.45 and ₱8,865,075.69, respectively remained unsettled contrary to COA Circular No. 2009-006 dated September 15, 2009.

   We recommended that the Management shall immediately initiate action to enforce settlement of disallowances and suspensions in accordance with the COA Revised Rules of Procedures on the Settlement of Accounts (RSSA).

5. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	18,169,260.45	-	7,863,225.00	10,306,035.45	43.28%
Current Year	-	-	-	-	-
Total	**18,169,260.45**	-	**7,863,225.00**	**10,306,035.45**	**43.28%**
Disallowances					
Prior Years	1,001,850.69	7,863,225.00	-	8,865,075.69	-
Current Year	-	-	-	-	-
Total	**1,001,850.69**	**7,863,225.00**	-	**8,865,075.69**	-
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Year's Audit Recommendations

Out of twelve (12) audit recommendations in prior years, four (4) were fully implemented, three (3) were partially implemented, and the remaining five (5) were not implemented as at year-end.